

# A Quasi-Newton-like regularized approach to the order-value optimization problem\*

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## Abstract

The order-value function of order  $p$  returns, at each point, the  $p$ th smallest value among a finite family of functions  $f_1, \dots, f_m$ ; minimizing it recovers the minimization of the minimum and of the maximum of the family in the extreme cases  $p = 1$  and  $p = m$ , and provides a flexible tool for robust estimation, in which a prescribed number of outlying observations are discarded. We propose a regularized method for minimizing the order-value function subject to box constraints. At each iteration the method minimizes a strongly convex model that combines a piecewise-linear term built from the active gradients, a quasi-Newton curvature term defined by a symmetric positive semidefinite matrix, and a quadratic regularization; the curvature term carries second-order information without requiring explicit second derivatives, and a recently proposed first-order regularized method is recovered as the special case in which this term vanishes. We introduce an approximate optimality condition for the problem and prove that the method is well defined and attains the same worst-case iteration- and evaluation-complexity bounds as its first-order counterpart, so that the incorporation of curvature preserves the theoretical guarantees while offering the potential for higher-quality steps in practice. The applicability of the method to parameter-estimation problems with outliers is illustrated.

**Keywords:** Order-value optimization, regularized models, quasi-Newton methods, complexity, algorithms, applications.

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# 1 Introduction

{sec:intro}

Many optimization problems involve objective functions that are obtained not by aggregating a collection of simpler functions, but by selecting one of them according to its rank. The prototypical example is the order-value function of order  $p$ , introduced in [3, 4]: given  $m$  functions  $f_1, \dots, f_m$ , its value at a point  $x$  is the  $p$ th smallest among  $f_1(x), \dots, f_m(x)$ . Functions of this kind belong to the broader class of generalized order-value functions—those whose value at  $x$  is governed by order relations among the elements of a set  $\{f_i(x)\}_{i \in I}$ —a class systematized in [17]. Since the index that attains the  $p$ th position may switch abruptly as  $x$  moves, the order-value function is generally nonsmooth even when each  $f_i$  is continuously differentiable.

The extreme choices  $p = 1$  and  $p = m$  recover the minimum and the maximum of  $\{f_i(x)\}$ , respectively, so the order-value function interpolates between these two classical aggregates; the intermediate cases are the ones of practical interest. When  $x$  encodes portfolio positions and  $f_i(x)$  is the loss incurred under scenario  $i$ , the order-value function coincides with the discrete value-at-risk (VaR) measure, a standard risk measure in financial risk management [16]. When  $f_i(x)$  measures the misfit of a parametric model to the  $i$ th observation, minimizing the  $p$ th order-value function fits the parameters while discarding the  $m - p$  worst-fitted observations. This makes order-value optimization a natural tool for robust estimation, where one seeks to remain insensitive to a minority of grossly corrupted data, or outliers.

The order-value optimization (OVO) problem was first formulated in [3], where a steepest-descent-type method was proposed and shown to converge to points satisfying a weak optimality condition. Sharper optimality conditions and a reformulation as a nonlinear program with equilibrium constraints were subsequently developed in [4]. A quasi-Newton method generalizing the scheme of [3] was introduced in [5], and a global optimization strategy combining multistart with a tunneling technique was proposed in [7]. On the computational-complexity side, [20] established that minimizing the order-value function over a polytope is NP-hard in the strong sense.

The systematic study of worst-case complexity in continuous optimization originates in the cubic-regularization analysis of [19], and complexity guarantees have since been obtained for a broad range of problems (see, e.g., [9, 10] and the monograph [13]). Within this line, [21] recently proposed a first-order method for box-constrained OVO that minimizes, at each iteration, a quadratically regularized piecewise-linear model of  $f$ , and established iteration- and evaluation-complexity bounds for reaching an approximate optimality condition.

In the present work we generalize the approach of [21] by enriching the regularized model with second-order information. At each iteration our method minimizes a model built from the same piecewise-linear convex term, a curvature term governed by a symmetric positive semidefinite matrix  $B$ , and a Tikhonov-type quadratic regularization. The matrix  $B$  is updated in a quasi-Newton fashion and therefore requires no explicit second derivatives, while the regularization renders the model strongly convex, so that each subproblem has a unique minimizer. Setting  $B = 0$  recovers the first-order method of [21] exactly, so the proposed method is a strict generalization of it. We derive an approximate optimality condition for the box-constrained problem and prove that the method is well defined and attains the *same* worst-case iteration- and evaluation-complexity bounds as the first-order method. Thus the incorporation of curvature does not degrade the theoretical guarantees, while it offers the potential for higher-quality steps, and

hence faster convergence, in practice—a behavior we illustrate on parameter-estimation problems in the presence of outliers.

The remainder of the paper is organized as follows. Section 2 defines the box-constrained order-value optimization problem and the proposed regularized method. Section 3 introduces an appropriate optimality condition and establishes the well-definiteness, convergence, and complexity of the method. Section 4 reports illustrative numerical experiments on parameter estimation in the presence of outliers. Final remarks are given in Section ??.

*Notation.* The symbol  $\|\cdot\|$  denotes the Euclidean norm. For  $i = 1, \dots, n$ ,  $e_i \in \mathbb{R}^n$  denotes the  $i$ th column of the

## 2 A quasi-Newton regularized method

Let  $f_i : \mathbb{R}^n \rightarrow \mathbb{R}$ ,  $i = 1, \dots, m$ , be given and let  $p \in \{1, \dots, m\}$  be fixed. The *order-value function of order  $p$*  is the mapping  $f : \mathbb{R}^n \rightarrow \mathbb{R}$  defined by

$$f(x) = f_{i_p(x)}(x), \quad (1) \quad \{\text{ovo-function}\}$$

where  $\{i_1(x), \dots, i_m(x)\}$  is a permutation of  $\{1, \dots, m\}$  such that

$$f_{i_1(x)}(x) \leq f_{i_2(x)}(x) \leq \dots \leq f_{i_m(x)}(x); \quad (2) \quad \{\text{fi-sort}\}$$

that is,  $f(x)$  is the  $p$ th smallest value among  $f_1(x), \dots, f_m(x)$ . The boundary cases  $p = 1$  and  $p = m$  recover, respectively, the minimum and the maximum of  $\{f_1(x), \dots, f_m(x)\}$ .

If  $f_1, \dots, f_m$  are continuous, then so is  $f$ . Differentiability, however, is not inherited:  $f$  may be nonsmooth at a point  $x$  at which the  $p$ th smallest value is attained by more than one index, i.e. whenever there exist  $i \neq j$  with  $f_i(x) = f_j(x) = f(x)$ , since the active index  $i_p(x)$  may then change as  $x$  varies.

We address the box-constrained order-value optimization problem

$$\underset{x \in \Omega}{\text{Minimize}} \ f(x), \quad (3) \quad \{\text{ovo-problem}\}$$

where  $\Omega := \{x \in \mathbb{R}^n \mid \ell \leq x \leq u\}$  with  $\ell, u \in \mathbb{R}^n$  and  $\ell_i < u_i$  for  $i = 1, \dots, n$ . Box constraints arise naturally in parameter estimation, where the unknowns are confined to physically or statistically meaningful bounds.

For  $\delta > 0$  and  $x \in \Omega$ , define the *active index set*

$$I_\delta(x) := \{i \in \{1, \dots, m\} \mid f(x) - \delta \leq f_i(x) \leq f(x) + \delta\}, \quad (4) \quad \{\text{idelta}\}$$

the set of indices whose values lie within a band of half-width  $\delta$  around  $f(x)$ . As  $\delta \rightarrow 0$ ,  $I_\delta(x)$  shrinks to the set of indices that attain the order-value,

$$I_0(x) := \{i \in \{1, \dots, m\} \mid f_i(x) = f(x)\}.$$

The method builds, around a reference point  $\bar{x} \in \Omega$ , a local model of  $f$  that combines the first-order information of the active components with curvature carried by a symmetric positive

semidefinite matrix  $B \in \mathbb{R}^{n \times n}$ . In a quasi-Newton framework,  $B$  is updated from successive gradients, so that no second derivatives are computed explicitly. For given  $\bar{x} \in \Omega$ ,  $B \succeq 0$ ,  $\delta > 0$ , and  $\sigma > 0$ , the regularized model is

$$\Psi(x; \bar{x}, B, \delta, \sigma) = \max_{i \in I_\delta(\bar{x})} \left\{ \nabla f_i(\bar{x})^T (x - \bar{x}) + \frac{1}{2} [(x - \bar{x})^T B (x - \bar{x}) + \sigma \|x - \bar{x}\|^2] \right\}. \quad (5) \quad \{\text{model}\}$$

The first term is the piecewise-linear convex function that captures the worst-case first-order behavior of  $f$  over the active components; the bracket adds the quasi-Newton curvature  $(x - \bar{x})^T B (x - \bar{x})$  and a Tikhonov regularization  $\sigma \|x - \bar{x}\|^2$ . Since  $\sigma > 0$ , the model is strongly convex even when  $B$  is only positive semidefinite, so the subproblem (6) has a unique minimizer. For  $B = 0$ , the model reduces to the first-order regularized model of [21], which the present method thus generalizes.

**Algorithm 2.1.** Let  $\delta > 0$ ,  $\sigma_{\min} > 0$ ,  $M > 0$ ,  $\alpha \in (0, 1)$ ,  $\gamma > 1$ , and  $x^0 \in \Omega$  be given. Initialize  $k \leftarrow 0$ .

**Step 1.** Initialize  $j \leftarrow 0$  and  $\sigma_{k,j} = \sigma_{\min}$ .

**Step 2.** Choose a symmetric positive semidefinite matrix  $B_{k,j} \in \mathbb{R}^{n \times n}$  with  $\|B_{k,j}\| \leq M$  and compute  $x_{\text{trial}}^{k,j}$  as the global minimizer of

$$\text{Minimize}_{x \in \Omega} \Psi(x; x^k, B_{k,j}, \delta, \sigma_{k,j}). \quad (6) \quad \{\text{ovo-subpro}\}$$

**Step 3.** If

$$f(x_{\text{trial}}^{k,j}) \leq f(x^k) - \alpha \|x_{\text{trial}}^{k,j} - x^k\|^2 \quad (7) \quad \{\text{ovo-armijo}\}$$

does not hold, set  $\sigma_{k,j+1} = \gamma \sigma_{k,j}$ ,  $j \leftarrow j + 1$ , and go to Step 2.

**Step 4.** Set  $x^{k+1} = x_{\text{trial}}^{k,j}$ ,  $\sigma_k = \sigma_{k,j}$ ,  $j_k = j$ ,  $k \leftarrow k + 1$ , and go to Step 1.

The bound  $\|B_{k,j}\| \leq M$  keeps the curvature from dominating the model. The freedom in choosing  $B_{k,j}$  lets the method accommodate standard quasi-Newton updates such as BFGS or SR1, and the choice  $B_{k,j} = 0$  for all  $k, j$  recovers the first-order method of [21].

The requirements on  $x_{\text{trial}}^{k,j}$  are mild. The theory only needs  $x_{\text{trial}}^{k,j}$  to be a stationary point of (6) with  $\Psi(x_{\text{trial}}^{k,j}; x^k, B_{k,j}, \delta, \sigma_{k,j}) \leq 0$ ; since  $\Psi(x^k; x^k, B_{k,j}, \delta, \sigma_{k,j}) = 0$ , any descent method started at  $x^k$  produces such iterates. Moreover, (6) minimizes a strongly convex function over the compact convex set  $\Omega$ , so it has a unique global minimizer and every stationary point is global; standard convex solvers apply directly.

### 3 Optimality condition and complexity

**Assumption A1.** The functions  $f_1, \dots, f_m$  belong to  $\mathcal{C}^1(\Omega)$ ; that is, they are continuously differentiable on  $\Omega$ .

**{a4}:complexity**

135 We first show that a local minimizer of (3) also minimizes the model  $\Psi$  built at the cor-  
 136 responding reference point. These results connect the original nonsmooth problem with the  
 137 convex subproblems solved at each iteration and underlie the optimality condition introduced  
 138 below.

{teo:conv1}

139 **Theorem 3.1.** *Suppose that Assumption A1 holds. If  $x^*$  is a local minimizer of (3), then it is*  
 140 *also a local minimizer of  $\text{Minimize}_{x \in \Omega} \Psi(x; x^*, 0, 0, 0)$ .*

141 *Proof.* Suppose not. Then there is  $y^* \in \Omega$  with  $\Psi(y^*; x^*, 0, 0, 0) < \Psi(x^*; x^*, 0, 0, 0) = 0$ , i.e.  
 142  $\nabla f_i(x^*)^T(y^* - x^*) < 0$  for all  $i \in I_0(x^*)$ . By Assumption A1, for each such  $i$ ,

$$143 \quad \lim_{t \rightarrow 0^+} \frac{f_i(x^* + t(y^* - x^*)) - f_i(x^*)}{t} = \nabla f_i(x^*)^T(y^* - x^*) < 0,$$

144 so there is  $\bar{t}_i > 0$  with  $f_i(x^* + t(y^* - x^*)) < f_i(x^*) = f(x^*)$  for  $t \in (0, \bar{t}_i]$ . With  $\bar{t} = \min_{i \in I_0(x^*)} \bar{t}_i$ ,

$$145 \quad f_i(x^* + t(y^* - x^*)) < f(x^*) \quad \text{for all } i \in I_0(x^*), t \in (0, \bar{t}]. \quad (8) \quad \{\text{bajaste}\}$$

146 For  $j \notin I_0(x^*)$ , continuity of  $f_1, \dots, f_m$  gives, for  $t$  small,

$$147 \quad f_i(x^* + t(y^* - x^*)) < f_j(x^* + t(y^* - x^*)) \quad \text{if } i \in I_0(x^*), f(x^*) < f_j(x^*), \quad (9) \quad \{\text{arriba}\}$$

$$148 \quad f_i(x^* + t(y^* - x^*)) > f_j(x^* + t(y^* - x^*)) \quad \text{if } i \in I_0(x^*), f(x^*) > f_j(x^*). \quad (10) \quad \{\text{abajo}\}$$

149 Hence the ranking positions of the active indices  $I_0(x^*)$  within  $\{f_i(x^* + t(y^* - x^*))\}_{i=1}^m$  are  
 150 preserved for  $t$  small, so the  $p$ th position is still occupied by some  $i \in I_0(x^*)$  and  $f(x^* + t(y^* -$   
 151  $x^*)) = f_i(x^* + t(y^* - x^*))$ . With (8),  $f(x^* + t(y^* - x^*)) < f(x^*)$  for  $t$  small. Since  $\Omega$  is convex,  
 152  $x^* + t(y^* - x^*) \in \Omega$ , contradicting the local minimality of  $x^*$ .  $\square$

{teo:conv2}

153 **Theorem 3.2.** *Suppose that Assumption A1 holds and let  $B \succeq 0$  and  $\sigma \geq 0$ . If  $x^*$  is a local*  
 154 *minimizer of (3), then it is also a local minimizer of  $\text{Minimize}_{x \in \Omega} \Psi(x; x^*, B, 0, \sigma)$ .*

155 *Proof.* Suppose not: there is  $y^* \in \Omega$  with  $\Psi(y^*; x^*, B, 0, \sigma) < 0$ , i.e.

$$156 \quad \max_{i \in I_0(x^*)} \{\nabla f_i(x^*)^T(y^* - x^*)\} + \frac{1}{2}[(y^* - x^*)^T B(y^* - x^*) + \sigma \|y^* - x^*\|^2] < 0.$$

157 Since  $B \succeq 0$  and  $\sigma \geq 0$ , the bracket is nonnegative, so  $\max_{i \in I_0(x^*)} \{\nabla f_i(x^*)^T(y^* - x^*)\} < 0$ , that  
 158 is,  $\Psi(y^*; x^*, 0, 0, 0) < 0$ , contradicting Theorem 3.1.  $\square$

{teo:conv3}

159 **Theorem 3.3.** *Suppose that Assumption A1 holds and let  $B \succeq 0$  and  $\sigma, \delta \geq 0$ . If  $x^*$  is a local*  
 160 *minimizer of (3), then it is also a local minimizer of  $\text{Minimize}_{x \in \Omega} \Psi(x; x^*, B, \delta, \sigma)$ .*

161 *Proof.* Suppose not: there is  $y^* \in \Omega$  with  $\Psi(y^*; x^*, B, \delta, \sigma) < 0$ . Since  $I_0(x^*) \subseteq I_\delta(x^*)$ , we have  
 162  $\max_{i \in I_0(x^*)} \{\cdot\} \leq \max_{i \in I_\delta(x^*)} \{\cdot\}$ , hence

$$163 \quad \max_{i \in I_0(x^*)} \{\nabla f_i(x^*)^T(y^* - x^*)\} + \frac{1}{2}[(y^* - x^*)^T B(y^* - x^*) + \sigma \|y^* - x^*\|^2] \leq \Psi(y^*; x^*, B, \delta, \sigma) < 0,$$

164 that is,  $\Psi(y^*; x^*, B, 0, \sigma) < 0$ , contradicting Theorem 3.2.  $\square$

Throughout,  $\Sigma_q := \{\lambda \in \mathbb{R}^q \mid \sum_{j=1}^q \lambda_j = 1, \lambda_j \geq 0\}$  denotes the unit simplex. Following [21], the next consequence of Theorem 3.3 provides a first-order necessary condition for (3) and motivates the stopping criterion below.

**Corollary 3.1.** *Suppose that Assumption A1 holds and let  $\delta \geq 0$ . If  $x^*$  is a local minimizer of (3), then there exist  $\mu \in \Sigma_{|I_\delta(x^*)|}$  and  $\nu^\ell, \nu^u \in \mathbb{R}_+^n$  such that  $(\ell_i - x_i^*)\nu_i^\ell = (x_i^* - u_i)\nu_i^u = 0$  for  $i = 1, \dots, n$  and*

$$\sum_{i \in I_\delta(x^*)} \mu_i \nabla f_i(x^*) + \sum_{i=1}^n (\nu_i^u - \nu_i^\ell) e_i = 0. \quad (11)$$

*Proof.* By Theorem 3.3 with  $B = 0$  and  $\sigma = 0$ ,  $x^*$  minimizes  $x \mapsto \max_{i \in I_\delta(x^*)} \{\nabla f_i(x^*)^T (x - x^*)\}$  over  $\Omega$ . Applying the KKT conditions for the minimization of a maximum of differentiable functions over a box [21, Lemma 3.1] yields multipliers  $\mu \in \Sigma_{|I_\delta(x^*)|}$  and  $\nu^\ell, \nu^u \in \mathbb{R}_+^n$  with the stated complementarity and (11).  $\square$

**Definition 3.1.** *Given  $\epsilon > 0$  and  $\delta > 0$ , we say that  $x \in \Omega$  satisfies the approximate optimality condition  $C_{\delta, \epsilon}$  if there exist  $\mu \in \Sigma_{|I_\delta(x)|}$  and  $\nu^\ell, \nu^u \in \mathbb{R}_+^n$  such that  $(\ell_i - x_i)\nu_i^\ell = (x_i - u_i)\nu_i^u = 0$  for  $i = 1, \dots, n$  and*

$$\left\| \sum_{i \in I_\delta(x)} \mu_i \nabla f_i(x) + \sum_{i=1}^n (\nu_i^u - \nu_i^\ell) e_i \right\| \leq \epsilon. \quad (12)$$

Condition  $C_{\delta, \epsilon}$  requires the gradient combination of the active components, corrected by the box multipliers, to be small in norm. For  $\epsilon = 0$  it reduces to the exact condition (11) of Corollary 3.1. It serves as the stopping criterion for Algorithm 2.1.

**Corollary 3.2.** *Suppose that Assumption A1 holds. Then, for every  $k$  and  $j = 0, \dots, j_k$ , there exist  $\mu \in \Sigma_{|I_\delta(x^k)|}$  and  $\nu^\ell, \nu^u \in \mathbb{R}_+^n$  such that  $(\ell_i - [x_{\text{trial}}^{k,j}]_i)\nu_i^\ell = ([x_{\text{trial}}^{k,j}]_i - u_i)\nu_i^u = 0$  for  $i = 1, \dots, n$  and*

$$x_{\text{trial}}^{k,j} - x^k = (B_{k,j} + \sigma_{k,j} I)^{-1} \left[ \sum_{i=1}^n (\nu_i^\ell - \nu_i^u) e_i - \sum_{i \in I_\delta(x^k)} \mu_i \nabla f_i(x^k) \right]. \quad (13)$$

*Proof.* Subproblem (6) minimizes the strongly convex function  $\Psi(\cdot; x^k, B_{k,j}, \delta, \sigma_{k,j})$  over the box  $\Omega$ . By the KKT conditions for a maximum of differentiable functions over a box [21, Lemma 3.1], there exist  $\mu \in \Sigma_{|I_\delta(x^k)|}$  and  $\nu^\ell, \nu^u \in \mathbb{R}_+^n$  with the stated complementarity such that

$$\sum_{i \in I_\delta(x^k)} \mu_i [\nabla f_i(x^k) + (B_{k,j} + \sigma_{k,j} I)(x_{\text{trial}}^{k,j} - x^k)] + \sum_{i=1}^n (\nu_i^u - \nu_i^\ell) e_i = 0,$$

where  $\nabla f_i(x^k) + (B_{k,j} + \sigma_{k,j} I)(x_{\text{trial}}^{k,j} - x^k)$  is the gradient at  $x_{\text{trial}}^{k,j}$  of the  $i$ th component of  $\Psi$ . Since  $\sum_i \mu_i = 1$ , the curvature term factors out; as  $\sigma_{k,j} > 0$  and  $B_{k,j} \succeq 0$ , the matrix  $B_{k,j} + \sigma_{k,j} I$  is positive definite, and solving for  $x_{\text{trial}}^{k,j} - x^k$  gives (13).  $\square$

**Assumption A2.** *For all  $k$  and  $j = 0, \dots, j_k$ , the multipliers  $\nu^\ell, \nu^u$  of Corollary 3.2 satisfy  $\max_{i=1, \dots, n} |\nu_i^\ell - \nu_i^u| \leq c_\nu$  for some constant  $c_\nu > 0$  independent of  $k$  and  $j$ .*

196 The Mangasarian–Fromovitz constraint qualification guarantees that, for each  $(k, j)$ , these  
 197 multipliers are bounded [15]; Assumption A2 strengthens this to a single bound uniform in  
 198  $k$  and  $j$ , which is natural since  $\Omega$  is compact and the active gradients are bounded under  
 199 Assumption A1.

200 **Assumption A3.** *There is a constant  $c_\nabla > 0$  such that  $\|\nabla f_i(x)\| \leq c_\nabla$  for all  $i = 1, \dots, m$  and*  
 201 *all  $x \in \Omega$ .* {a3}

202 Assumption A3 holds automatically under Assumption A1, since  $\Omega$  is bounded. Combining  
 203 Corollary 3.2 with Assumptions A2 and A3 bounds the step. Since  $B_{k,j} \succeq 0$ , the eigenvalues of  
 204  $B_{k,j} + \sigma_{k,j}I$  are at least  $\sigma_{k,j}$ , so  $\|(B_{k,j} + \sigma_{k,j}I)^{-1}\| \leq 1/\sigma_{k,j}$ , and (13) gives

$$205 \quad \|x_{\text{trial}}^{k,j} - x^k\| \leq \frac{1}{\sigma_{k,j}} \left( \sum_{i=1}^n |\nu_i^\ell - \nu_i^u| + \sum_{i \in I_\delta(x^k)} \mu_i \|\nabla f_i(x^k)\| \right) \leq \frac{n c_\nu + c_\nabla}{\sigma_{k,j}},$$

206 where the last inequality uses Assumptions A2, A3 and  $\mu \in \Sigma_{|I_\delta(x^k)|}$ . Thus

$$207 \quad \|x_{\text{trial}}^{k,j} - x^k\| \leq \frac{c_x}{\sigma_{k,j}}, \quad c_x := n c_\nu + c_\nabla. \quad (14) \quad \{\text{ccotasub}\}$$

208 The step shrinks as  $\sigma_{k,j}$  grows, which is the mechanism driving the acceptance of (7).

209 **Assumption A4.** *There is  $L > 0$  such that  $\|\nabla f_i(y) - \nabla f_i(x)\| \leq L\|y - x\|$  for all  $i = 1, \dots, m$*   
 210 *and  $x, y \in \Omega$ .* {a4}

211 Assumption A4 is the standard gradient-Lipschitz condition. It implies, for all  $i$  and  $x, y \in \Omega$ ,

$$212 \quad f_i(y) \leq f_i(x) + \nabla f_i(x)^T(y - x) + \frac{L}{2}\|y - x\|^2, \quad (15) \quad \{\text{taylor}\}$$

213 as well as the two-sided bound  $|f_i(y) - f_i(x) - \nabla f_i(x)^T(y - x)| \leq \frac{L}{2}\|y - x\|^2$ . These make  $\Psi$   
 214 an upper model of  $f$  once  $\sigma_{k,j}$  is large relative to  $L$ , which yields finite termination of the inner  
 215 loop.

216 **Lemma 3.1.** *Let  $a_1, \dots, a_r, b_1, \dots, b_r \in \mathbb{R}$  and  $\beta > 0$  satisfy  $a_1 \leq \dots \leq a_r$ ,  $b_j \leq a_j - \beta$  for*  
 217  *$j = 1, \dots, r$ , and  $b_{i_1} \leq \dots \leq b_{i_r}$  for a permutation  $\{i_1, \dots, i_r\}$  of  $\{1, \dots, r\}$ . Then  $b_{i_q} \leq a_q - \beta$*   
 218 *for  $q = 1, \dots, r$ .* {lem1}

219 *Proof.* See [3, Lemma 2.1]. □

220 The next result gives a threshold on  $\sigma_{k,j}$  beyond which the trial point is accepted at Step 3,  
 221 so that the inner loop terminates after finitely many increases of  $\sigma_{k,j}$ , independently of  $k$ . The  
 222 threshold scales with  $\delta^{-1}$ : a narrower active band demands stronger regularization.

223 **Theorem 3.4.** *Suppose that Assumptions A1, A3, and A4 hold. Then, for all  $k$  and  $j =$*   
 224  *$0, \dots, j_k$ , if* {teo:suff-desc}

$$225 \quad \sigma_{k,j} \geq \max\{L + 2\alpha, 9c_x^2/(2\delta)\}, \quad (16) \quad \{\text{este}\}$$

226 *then  $x_{\text{trial}}^{k,j}$  satisfies (7).*

227 *Proof.* Assume (16); in particular  $\sigma_{k,j} \geq L + 2\alpha$ . By (15), for every  $i \in \{1, \dots, m\}$ ,

$$\begin{aligned}
228 \quad f_i(x_{\text{trial}}^{k,j}) &\leq f_i(x^k) + \nabla f_i(x^k)^T (x_{\text{trial}}^{k,j} - x^k) + \frac{L}{2} \|x_{\text{trial}}^{k,j} - x^k\|^2 \\
229 \quad &\leq f_i(x^k) + \nabla f_i(x^k)^T (x_{\text{trial}}^{k,j} - x^k) + \left(\frac{\sigma_{k,j}}{2} - \alpha\right) \|x_{\text{trial}}^{k,j} - x^k\|^2 \\
230 \quad &= f_i(x^k) + \nabla f_i(x^k)^T (x_{\text{trial}}^{k,j} - x^k) + \frac{1}{2} [(x_{\text{trial}}^{k,j} - x^k)^T B_{k,j} (x_{\text{trial}}^{k,j} - x^k) + \sigma_{k,j} \|x_{\text{trial}}^{k,j} - x^k\|^2] \\
231 \quad &\quad - \alpha \|x_{\text{trial}}^{k,j} - x^k\|^2 - \frac{1}{2} (x_{\text{trial}}^{k,j} - x^k)^T B_{k,j} (x_{\text{trial}}^{k,j} - x^k).
\end{aligned}$$

232 Since  $B_{k,j} \succeq 0$ , the last term is nonpositive and may be dropped. For  $i \in I_\delta(x^k)$ , the minimizer  
233 property  $\Psi(x_{\text{trial}}^{k,j}; x^k, B_{k,j}, \delta, \sigma_{k,j}) \leq \Psi(x^k; x^k, B_{k,j}, \delta, \sigma_{k,j}) = 0$  gives

$$234 \quad \nabla f_i(x^k)^T (x_{\text{trial}}^{k,j} - x^k) + \frac{1}{2} [(x_{\text{trial}}^{k,j} - x^k)^T B_{k,j} (x_{\text{trial}}^{k,j} - x^k) + \sigma_{k,j} \|x_{\text{trial}}^{k,j} - x^k\|^2] \leq 0,$$

235 so that

$$236 \quad f_i(x_{\text{trial}}^{k,j}) \leq f_i(x^k) - \alpha \|x_{\text{trial}}^{k,j} - x^k\|^2, \quad i \in I_\delta(x^k). \quad (17) \quad \{\text{cota-lem2}\}$$

237 On the other hand, by (14), the Cauchy–Schwarz inequality, and the two-sided consequence of  
238 Assumption A4,  $|f_i(x_{\text{trial}}^{k,j}) - f_i(x^k)| \leq c_x^2/\sigma_{k,j} + Lc_x^2/(2\sigma_{k,j}^2)$  for all  $i$ ; using  $L \leq \sigma_{k,j}$ , this is at  
239 most  $3c_x^2/(2\sigma_{k,j})$ , and (16) yields

$$240 \quad |f_i(x_{\text{trial}}^{k,j}) - f_i(x^k)| \leq \frac{\delta}{3}, \quad i = 1, \dots, m. \quad (18) \quad \{\text{teo7eq1}\}$$

241 Consequently, any index with  $f_i(x^k) < f(x^k) - \delta$  satisfies  $f_i(x_{\text{trial}}^{k,j}) < f(x^k)$ , and any index with  
242  $f_i(x^k) > f(x^k) + \delta$  satisfies  $f_i(x_{\text{trial}}^{k,j}) > f(x^k)$ . In particular  $i_p(x_{\text{trial}}^{k,j}) \in I_\delta(x^k)$ , and the number of  
243 components lying below the band is the same at  $x^k$  and  $x_{\text{trial}}^{k,j}$ . Write  $I_\delta(x^k) = \{i_1, \dots, i_r\}$  with  
244  $f_{i_1}(x^k) \leq \dots \leq f_{i_r}(x^k)$ , and let  $\{i'_1, \dots, i'_r\}$  reorder them so that  $f_{i'_1}(x_{\text{trial}}^{k,j}) \leq \dots \leq f_{i'_r}(x_{\text{trial}}^{k,j})$ .  
245 Since the count below the band is preserved and  $i_p(\cdot)$  lies in the band at both points,  $i_p(x^k)$  and  
246  $i_p(x_{\text{trial}}^{k,j})$  occupy the same position  $q$  within the band; that is,  $i_p(x^k) = i_q$  and  $i_p(x_{\text{trial}}^{k,j}) = i'_q$ .  
247 Applying Lemma 3.1 with  $a_j = f_{i_j}(x^k)$ ,  $b_j = f_{i_j}(x_{\text{trial}}^{k,j})$ , and  $\beta = \alpha \|x_{\text{trial}}^{k,j} - x^k\|^2$ —valid by  
248 (17)—gives  $f_{i'_q}(x_{\text{trial}}^{k,j}) \leq f_{i_q}(x^k) - \beta$ . Since  $f_{i_q}(x^k) = f_{i_p(x^k)}(x^k) = f(x^k)$ ,

$$249 \quad f(x_{\text{trial}}^{k,j}) = f_{i_p(x_{\text{trial}}^{k,j})}(x_{\text{trial}}^{k,j}) = f_{i'_q}(x_{\text{trial}}^{k,j}) \leq f(x^k) - \alpha \|x_{\text{trial}}^{k,j} - x^k\|^2,$$

250 which is (7). □

251 The inner loop thus terminates finitely at every outer iteration. The curvature affects only  
252 the constants below—through the bound  $M$  on  $\|B_{k,j}\|$ —and not the  $O(\delta^{-2}\epsilon^{-2})$  iteration order,  
253 which coincides with that of the first-order method [21].

254 **Theorem 3.5.** Suppose that Assumptions A1, A3, and A4 hold and that there is  $f_{\text{low}} \in \mathbb{R}$  with  
255  $f(x) \geq f_{\text{low}}$  for all  $x \in \Omega$ . Then

$$256 \quad \sigma_k \leq \gamma \max\{L + 2\alpha, 9c_x^2/(2\delta)\}, \quad (19) \quad \{\text{cota-sigma}\}$$

257 and at most

$$258 \quad \lceil 1 + \log_\gamma(\sigma_k/\sigma_{\min}) \rceil \quad (20) \quad \{\text{cota-fcnt}\}$$



function evaluations are performed per outer iteration to obtain (7). Moreover, the number of outer iterations  $k$  at which  $C_{\delta,\epsilon}$  is not satisfied by  $x^{k+1}$  is at most

$$\left\lceil \frac{(M + \gamma \max\{L + 2\alpha, 9c_x^2/(2\delta)\})^2}{\alpha} \cdot \frac{f(x^0) - f_{\text{low}}}{\epsilon^2} \right\rceil. \quad (21) \quad \{\text{cota-iter}\}$$

*Proof.* Bounds (19) and (20) follow from Theorem 3.4 and the rule  $\sigma_{k,j+1} = \gamma\sigma_{k,j}$ : starting from  $\sigma_{k,0} = \sigma_{\min}$ , at most  $\lfloor 1 + \log_\gamma(\sigma_k/\sigma_{\min}) \rfloor$  increases occur before (16) holds, after which (7) is satisfied.

Let  $K$  be the set of outer indices  $k$  at which  $C_{\delta,\epsilon}$  fails at  $x^{k+1}$ . Fix  $k \in K$  and write  $B_k = B_{k,j_k}$ . By Corollary 3.2,  $(B_k + \sigma_k I)(x^{k+1} - x^k) = \sum_{i=1}^n (\nu_i^\ell - \nu_i^u) e_i - \sum_{i \in I_\delta(x^k)} \mu_i \nabla f_i(x^k)$ , hence

$$\|(B_k + \sigma_k I)(x^{k+1} - x^k)\| = \left\| \sum_{i \in I_\delta(x^k)} \mu_i \nabla f_i(x^k) + \sum_{i=1}^n (\nu_i^u - \nu_i^\ell) e_i \right\| > \epsilon,$$

the inequality holding because  $C_{\delta,\epsilon}$  fails at  $x^{k+1}$ . Since  $\|B_k\| \leq M$ ,

$$\epsilon < \|(B_k + \sigma_k I)(x^{k+1} - x^k)\| \leq (M + \sigma_k) \|x^{k+1} - x^k\|,$$

and with (19),  $\|x^{k+1} - x^k\| > \epsilon / (M + \gamma \max\{L + 2\alpha, 9c_x^2/(2\delta)\})$ . As  $x^{k+1}$  satisfies (7),

$$f(x^{k+1}) \leq f(x^k) - \alpha \|x^{k+1} - x^k\|^2 < f(x^k) - \frac{\alpha \epsilon^2}{(M + \gamma \max\{L + 2\alpha, 9c_x^2/(2\delta)\})^2}.$$

Summing over  $k \in K$  and using  $f(x) \geq f_{\text{low}}$  gives  $f(x^0) - f_{\text{low}} > |K| \cdot \alpha \epsilon^2 / (M + \gamma \max\{L + 2\alpha, 9c_x^2/(2\delta)\})^2$ , from which (21) follows.  $\square$

## 4 Numerical experiments

We illustrate the method on parameter-estimation problems in which the data contain an unknown number of outliers, following the OVO methodology of [21]. Given a model  $y(t, x)$  with parameters  $x \in \Omega$  and data  $(t_i, y_i)$ ,  $i = 1, \dots, m$ , we set

$$f_i(x) = \frac{1}{2} (y(t_i, x) - y_i)^2, \quad i = 1, \dots, m.$$

For a prescribed number  $o$  of outliers, solving (3) with  $p = m - o$  fits the parameters to the  $p$  best-explained observations while discarding the  $o$  worst. Since the true number of outliers is unknown, we solve a sequence of OVO problems with increasing  $o$ ; a sharp drop in  $f(x^*)$  identifies the number of outliers present.

Our aim is to assess the effect of the curvature matrix  $B$ . We therefore compare two instances of Algorithm 2.1 that differ *only* in  $B$ : the first-order method ( $B_{k,j} = 0$ , which coincides with [21]) and the quasi-Newton variant, in which  $B_{k,j}$  is built from the Gauss–Newton curvature of the active component. For the least-squares functions above,  $\nabla f_i(x) = r_i(x) \nabla r_i(x)$  with  $r_i(x) = y(t_i, x) - y_i$ , so the Gauss–Newton curvature  $\nabla r_i(x) \nabla r_i(x)^T \succeq 0$  is available from

quantities already computed for the model and requires no second derivatives. To respect the bound  $\|B_{k,j}\| \leq M$  of Step 2, we scale the curvature so that its spectral norm does not exceed  $M$ ; like  $\delta$ , the value of  $M$  is chosen by trial and error.

As in [21], subproblem (6) is reformulated as the smooth nonlinear program

$$\text{Minimize } w \quad \text{s.t.} \quad \nabla f_i(x^k)^T(x-x^k) + \frac{1}{2}[(x-x^k)^T B_{k,j}(x-x^k) + \sigma_{k,j}\|x-x^k\|^2] \leq w, \quad i \in I_\delta(x^k), \\ x \in \Omega, w$$

solved with AlgenCan [11, 12], whose multipliers furnish  $\mu, \nu^\ell, \nu^u$  for checking  $C_{\delta,\epsilon}$ . Throughout we use  $\sigma_{\min} = 0.1$ ,  $\alpha = 10^{-8}$ ,  $\gamma = 5$ , and  $\epsilon = 10^{-4}$ . Both methods are run from identical starting points with the same random seed, so that any difference is attributable to  $B$ .

#### 4.1 A model linear in the parameters

{subsec:poly}

Following [3], we fit the third-degree polynomial  $y(t, x) = x_1 + x_2 t + x_3 t^2 + x_4 t^3$ , with  $-10 \leq x_i \leq 10$ , to a set of  $m = 46$  observations containing 10 outliers, taken from [3]. The least-squares fit to the contaminated data is  $\bar{x} \approx (6.46, 2.71, -7.54, 2.16)^T$ . As the OVO problem has many non-global minimizers, for each  $o \in \{0, \dots, 12\}$  we run the algorithm from 100 starting points  $x_i^0 = \bar{x}_i + r|\bar{x}_i|$ , with  $r \sim U[-0.5, 0.5]$  (projected onto  $\Omega$ ), and report the best  $x^*$ . We take  $\delta = 0.1$  and  $M = 1$ .

Table 4.1 reports, for each  $o$  and for both methods, the best value  $f(x^*)$ , the number of outer iterations, and the number of function evaluations. Both methods identify the 10 outliers through the sharp drop of  $f(x^*)$  between  $o = 9$  and  $o = 10$ , and return solutions of the same quality. Their iteration and evaluation counts are comparable: in aggregate the first-order method uses 480 iterations and 2324 evaluations, the quasi-Newton variant 485 and 2389; the per-instance differences have no systematic sign and cancel out, reflecting the run-to-run variability of the multistart procedure rather than an effect of  $B$ .

The absence of any gain from curvature on this problem is expected, and instructive. The model  $y(t, x)$  is affine in the parameters  $x$ , so each residual  $r_i$  is affine,  $\nabla r_i$  is constant, and the component Hessians  $\nabla^2 f_i = \nabla r_i \nabla r_i^T$  are constant and exact: here the Gauss–Newton curvature is the true curvature. Each  $f_i$  is thus a convex quadratic, for which the adaptive regularization  $\sigma_{k,j}$  of the first-order model already produces well-scaled steps; the explicit curvature is largely redundant and merely reshapes the step without reducing the iteration count. Moreover, the dominant difficulty of (3) on this instance is not smooth nonconvexity—which curvature would mitigate—but the combinatorial selection of which observations to discard, which produces the many local minima reflected in the multistart strategy and is unaffected by  $B$ . This is consistent with the analysis of Section 3, where  $B$  enters only the constant, and not the order, of the complexity bounds: on a problem of this type curvature can be expected to neither help nor harm. The picture changes for models that are genuinely nonlinear in the parameters, considered next, where the first-order model is a poorer local approximation and the curvature becomes informative.

{tab:poly}

| $o$      | First-order ( $B = 0$ ) |     |       | Quasi-Newton ( $M = 1$ ) |     |       |
|----------|-------------------------|-----|-------|--------------------------|-----|-------|
|          | $f(x^*)$                | #it | #fcnt | $f(x^*)$                 | #it | #fcnt |
| 0        | 1.363e+01               | 27  | 105   | 1.362e+01                | 30  | 120   |
| 1        | 1.145e+01               | 37  | 170   | 1.145e+01                | 39  | 180   |
| 2        | 1.004e+01               | 40  | 194   | 1.005e+01                | 40  | 187   |
| 3        | 9.535e+00               | 39  | 202   | 9.530e+00                | 39  | 184   |
| 4        | 9.013e+00               | 40  | 164   | 9.014e+00                | 43  | 196   |
| 5        | 8.455e+00               | 38  | 170   | 8.460e+00                | 32  | 134   |
| 6        | 7.436e+00               | 44  | 225   | 7.434e+00                | 55  | 286   |
| 7        | 6.921e+00               | 38  | 206   | 6.907e+00                | 60  | 331   |
| 8        | 5.503e+00               | 43  | 210   | 5.501e+00                | 25  | 130   |
| 9        | 4.176e+00               | 25  | 117   | 4.190e+00                | 34  | 193   |
| 10       | 3.120e-02               | 31  | 154   | 4.077e-02                | 38  | 198   |
| 11       | 3.452e-02               | 28  | 145   | 2.275e-02                | 31  | 157   |
| 12       | 3.228e-02               | 50  | 262   | 3.421e-02                | 19  | 93    |
| $\Sigma$ |                         | 480 | 2324  |                          | 485 | 2389  |

Table 1: Third-degree polynomial ( $m = 46$ ,  $\delta = 0.1$ ): first-order method ( $B = 0$ ) versus the quasi-Newton variant ( $M = 1$ ). For each  $o$ , the best  $f(x^*)$  over 100 starting points, the number of outer iterations (#it), and the number of function evaluations (#fcnt).

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